

C219

MBA, Healthcare Management Capstone

Armored Drill

8 concepts · 12 items · 4 transfer items

What this is. Every concept in this course's public description, re-asked with more disguise than a practice test uses. Each stem carries facts that do not decide it. Every wrong answer is a named trap.

Source. Scope from the course's public description in the WGU Institutional Catalog (September 2026); items written from the field's standard body of knowledge. No WGU assessment item, course material or proprietary content is used or reproduced. Not affiliated with or endorsed by Western Governors University.

Method © 2026 Erik Daniel Lindquist — Course Mastery Coach, armored drill. Items drafted with AI assistance under his direction.

How to run it

Paper first. Pencil. One pass, no notes, a timer if you want the pressure.

1. **Before you read the options**, fill the strip under the item: the target word (what is actually being asked), and the one fact in the stem that decides it.
2. **Principle before arithmetic**. Name the rule, then compute.
3. **Camouflage**. Most of every stem does not matter. Ask: which single fact decides this?
4. **Inverse pairs are the bait**. If two options are opposites, one of them is the trap built for you.
5. **Mark sure, unsure or guess** honestly. Sure-and-wrong is the most valuable miss on the page — it is a wrong mental model.
6. **Absolutes** (always, never, guarantee) are usually wrong. And recognizing an answer is not the same as owning it.
7. Items with a **heavy black bar** on the left are **transfer items**: the same principle, reversed or solved for a different variable.
8. Stop at the STOP page. Then grade, fill the triage grid, and tally the traps you fell for. The biggest tally is what you drill next.

The strip, filled in, looks like this:

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	_____	

Items

1.

A 60-physician primary-care group, recently rated top in its state for patient satisfaction, signs a contract that pays \$40 per member per month for 5,000 members, no matter how many visits they make. The group's building has solar panels. What financial incentive does this contract create?

- A. Focus on raising satisfaction scores to increase the payment.
- B. Ignore cost, since the payer bears all risk.
- C. Increase visit volume to earn more revenue.
- D. Keep members healthy and avoid unnecessary services, since the group bears utilization risk.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

2. [TRANSFER — reversed stem / different variable]

A payer wants to switch an orthopedic group away from a model that rewards volume. Which current model is the payer trying to move away from?

- A. Bundled payment.
- B. Capitation.
- C. Global budget.
- D. Fee-for-service.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

3.

A billing clerk at a 300-bed teaching hospital, who has worked there for 15 years and received an award last spring, looks up the medical record of a local celebrity admitted to the ICU. The clerk has no billing task related to that patient. What is the core problem?

- A. The access violated the minimum necessary standard, since the clerk had no job need.
- B. It is allowed because the clerk is a long-time, trusted employee.
- C. It is a problem only if the clerk shares the information outside the hospital.
- D. No problem; employees may view any record in the hospital's system.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

4.

A cardiac unit in a newly built tower tracks the percentage of heart-attack patients who receive aspirin within 24 hours of arrival. The unit's nurse manager just earned a doctorate. In Donabedian's model, what kind of measure is this?

- A. Structure.
- B. Outcome, because aspirin improves survival.
- C. Process.
- D. Outcome.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

5. [TRANSFER — reversed stem / different variable]

A hospital wants to add an outcome measure to its surgical quality dashboard. Which measure qualifies?

- A. Surgical site infection rate.
- B. Operating rooms with updated sterilization equipment.
- C. Percentage of patients given antibiotics before incision.
- D. Number of board-certified surgeons on staff.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

6.

A 340-bed community hospital with a new CEO billed \$12.0 million in gross charges last month. Contractual allowances with payers totaled \$5.4 million, and the hospital's foundation raised \$0.8 million in donations. What was net patient revenue?

- A. \$5.4 million
- B. \$7.4 million
- C. \$6.6 million
- D. \$12.0 million

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

7.

A night-shift nurse at a Magnet-designated hospital, who is well liked by patients, has been skipping the barcode scan on routine medications because the scanner is slow, a shortcut several colleagues also take. No patient has been harmed. Under just culture, what is the right response?

- A. Always discipline every policy deviation.
- B. Coach the nurse and fix the slow scanner that encourages the shortcut.
- C. Take no action, since no patient was harmed.
- D. Terminate the nurse for violating policy.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

8. [TRANSFER — reversed stem / different variable]

Under just culture, which behavior warrants disciplinary action?

- A. A tech skips a step that the whole unit routinely skips.
- B. A nurse transposes two digits while tired at the end of a shift.
- C. Any error that causes patient harm.
- D. A pharmacist knowingly bypasses a required double-check on a high-risk drug to leave early.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

9.

An uninsured man with chest pain arrives at the emergency department of a busy suburban hospital that participates in Medicare. The registration clerk notices he is wearing a construction uniform and asks how he plans to pay. What must the hospital do first?

- A. Verify payment before the exam.
- B. Provide a medical screening exam and stabilizing care without delay for payment.
- C. Transfer him to a public hospital right away.
- D. Check whether his employer's workers' comp covers the visit.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

10.

A health system CFO, whose team recently moved to a new finance platform, proposes closing all community diabetes education classes to cut costs by \$1.2 million. Data show the classes reduce ER visits among low-income patients and patients rate them highly. How does the proposal fare against the Triple Aim?

- A. Well; any cost reduction advances the Triple Aim.
- B. Neutral; the Triple Aim covers only clinical quality.
- C. Poorly; it may cut one cost line but hurts population health and patient experience, and could raise total cost through more ER visits.
- D. Well; the savings could fund the new finance platform.

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

11.

A nonprofit health system with a nationally ranked cardiology program reported operating revenue of \$250 million and operating expenses of \$240 million. It also earned \$6 million in investment income. What is its operating margin?

- A. 96.0%
- B. 4.0%
- C. 6.4%
- D. 4.2%

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

12. [TRANSFER — reversed stem / different variable]

A clinic network expects \$80 million in operating revenue and wants a 5% operating margin. What is the most it can spend on operating expenses?

- A. \$76.0 million
- B. \$4.0 million
- C. \$84.0 million
- D. \$76.2 million

Target word	The one fact that decides	Answer	[] sure [] unsure [] guess
_____	_____	___	

STOP

Answers and dissection follow. Finish every item and every strip first.

Key and dissection

Struck-through text is the camouflage: facts that do not decide the item.

1. Answer D Concept 1

A 60-physician primary-care group, ~~recently rated top in its state for patient satisfaction~~, signs a contract that pays \$40 per member per month for 5,000 members, no matter how many visits they make. ~~The group's building has solar panels.~~ What financial incentive does this contract create?

Target word: incentive under capitation **Decides:** Fixed payment per member regardless of services.

A	Camouflage	The contract pays per member, not per satisfaction score.
B	Dropped element	Drops the risk shift that capitation creates.
C	Inverted operation	That is the fee-for-service incentive.
D	Correct	Under capitation the \$200,000 a month is fixed; extra services add cost, not revenue.

2. Answer D Concept 1 • transfer

A payer wants to switch an orthopedic group away from a model that rewards volume. Which current model is the payer trying to move away from?

Target word: model that rewards volume **Decides:** Payment per service rewards more services.

A	Confusion set	A single payment per episode discourages extra services within it.
B	Inverted operation	Capitation rewards doing less, the opposite incentive.
C	Adjacent category	A fixed annual budget does not reward volume.
D	Correct	Paying per service rewards doing more services.

3. Answer A Concept 2

A billing clerk at a 300-bed teaching hospital, ~~who has worked there for 15 years and received an award last spring~~, looks up the medical record of a local celebrity admitted to the ICU. The clerk has no billing task related to that patient. What is the core problem?

Target word: privacy violation **Decides:** Access exceeded what the job required.

A	Correct	Workforce members may access only the information their duties require.
B	Camouflage	Tenure and awards do not create a need to know.
C	Dropped element	Unauthorized viewing alone is a violation.
D	Absolute language	Employment does not grant access to every record.

4. Answer C Concept 3

A cardiac unit ~~in a newly built tower~~ tracks the percentage of heart-attack patients who receive aspirin within 24 hours of arrival. ~~The unit's nurse manager just earned a doctorate.~~ In Donabedian's model, what kind of measure is this?

Target word: classify measure **Decides:** It measures an action taken in delivering care.

A	Camouflage	Reacts to the new tower; buildings are structure, but the measure is an action.
B	Adjacent category	A process linked to outcomes is still a process.
C	Correct	Giving aspirin is a care-delivery action.
D	Confusion set	Outcomes are patient results, such as 30-day mortality.

5. Answer A Concept 3 • transfer

A hospital wants to add an outcome measure to its surgical quality dashboard. Which measure qualifies?

Target word: pick an outcome **Decides:** Outcome = a patient result.

A	Correct	Infection is a result experienced by patients.
B	Confusion set	A structure measure.
C	Inverted operation	That is a process step, not the result.
D	Confusion set	A structure measure.

6. Answer C Concept 4

A 340-bed community hospital ~~with a new CEO~~ billed \$12.0 million in gross charges last month. Contractual allowances with payers totaled \$5.4 million, ~~and the hospital's foundation raised \$0.8 million in donations.~~ What was net patient revenue?

Target word: net patient revenue **Decides:** Gross charges – contractual allowances.

A	Inverted operation	The allowance itself, not what remains.
B	Camouflage	Adds donations, which are not patient revenue.
C	Correct	$\$12.0\text{M} - \$5.4\text{M} = \$6.6\text{M}.$
D	Wrong stem number	Gross charges are list prices, not revenue.

7. Answer B Concept 5

A night-shift nurse ~~at a Magnet-designated hospital, who is well liked by patients,~~ has been skipping the barcode scan on routine medications because the scanner is slow, a shortcut several colleagues also take. No patient has been harmed. Under just culture, what is the right response?

Target word: response to at-risk behavior **Decides:** A drift from safe practice without conscious disregard of risk.

A	Absolute language	That is a punitive culture, which drives errors underground.
B	Correct	At-risk behavior is coached, and system causes are addressed.
C	Dropped element	Just culture judges behavior, not outcome; the risk remains.
D	Adjacent category	Sanctions are for reckless behavior, not normalized drift.

8. Answer D Concept 5 • transfer

Under just culture, which behavior warrants disciplinary action?

Target word: which behavior is sanctioned **Decides:** Reckless = conscious disregard of a substantial risk.

A	Confusion set	Normalized drift is at-risk behavior; coach it.
B	Confusion set	Human error is consoled and addressed through system design.
C	Inverted operation	Judges by outcome rather than behavior, the reverse of just culture.
D	Correct	Choosing to ignore a known, serious risk is reckless.

9. Answer B Concept 6

An uninsured man with chest pain arrives at the emergency department of a ~~busy suburban~~ hospital that participates in Medicare. The registration clerk notices ~~he is wearing a construction uniform~~ and asks how he plans to pay. What must the hospital do first?

Target word: EMTALA duty **Decides:** Screening and stabilization come before payment questions.

A	Inverted operation	Payment inquiries may not delay screening.
B	Correct	EMTALA requires screening and stabilization regardless of ability to pay.
C	Adjacent category	Transfers are allowed only after stabilization or with proper certification, not for payment reasons.
D	Camouflage	Reacts to the uniform; coverage questions come after screening.

10. Answer C Concept 7

A health system CFO, ~~whose team recently moved to a new finance platform~~, proposes closing all community diabetes education classes to cut costs by \$1.2 million. Data show the classes reduce ER visits among low-income patients and patients rate them highly. How does the proposal fare against the Triple Aim?

Target word: Triple Aim assessment **Decides:** Cuts cost but harms population health and experience.

A	Absolute language	Cost is one aim of three.
B	Dropped element	Drops the cost and experience aims.
C	Correct	The Triple Aim requires balancing all three aims.
D	Camouflage	The platform is irrelevant to the aims.

11. Answer B Concept 8

A nonprofit health system ~~with a nationally ranked cardiology program~~ reported operating revenue of \$250 million and operating expenses of \$240 million. It also earned \$6 million in investment income. What is its operating margin?

Target word: operating margin **Decides:** $(\$250M - \$240M) / \$250M$.

A	Adjacent category	That is the expense ratio, not the margin.
B	Correct	$\$10M / \$250M = 4.0\%$.
C	Wrong stem number	Adds the \$6M investment income, which is nonoperating: $\$16M / \$250M$.
D	Inverted operation	$\$10M / \$240M$ divides by expenses instead of revenue.

12. Answer A Concept 8 · transfer

A clinic network expects \$80 million in operating revenue and wants a 5% operating margin. What is the most it can spend on operating expenses?

Target word: solve for expenses **Decides:** $\text{Expenses} = \text{revenue} \times (1 - \text{margin})$.

A	Correct	$\$80M \times 0.95 = \$76M$, leaving \$4M (5%).
B	Adjacent category	That is the target operating income, not expenses.
C	Inverted operation	Adds the margin instead of subtracting it.
D	Confusion set	$\$80M / 1.05$ treats margin as a markup on expenses.

Triage grid

Write each item number in the box it belongs to.

	Right	Wrong
Sure	Owled.	Concept inversion — top priority. A wrong mental model; it survives rewording.
Unsure / guess	Recognition, not mastery. Re-drill with the transfer.	Not learned yet.

Trap tally

For every miss, find the letter you chose in the key and tally its trap. The biggest number is the pattern to drill.

Trap	What it does	In this drill	Your misses
Dropped element	Leaves out a required term or step.	4	
Wrong stem number	A figure copied from the prompt that is not the answer.	2	
Adjacent category	The right idea in the wrong bucket.	6	
Inverted operation	Direction flipped: add/subtract, cause/effect, higher/lower.	8	
Absolute language	Always, never, guarantee — where judgment applies.	3	
Confusion set	Every option is real; the test is exact role-matching.	7	
Camouflage	Answers a stem fact that was never the question.	6	

Anchor rows — the concept list

One row per concept: the rule to lock in, the trap that catches people, and the tell in the question that signals it.

#	Concept	Rule	Trap	Tell
1	Reimbursement models and incentives	Fee-for-service pays per service, rewarding volume; capitation pays a fixed amount per member per month, shifting utilization risk to the provider and rewarding prevention and efficiency.	Thinking capitation rewards doing more procedures.	"Per member per month" vs. "per visit" or "per procedure."
2	HIPAA minimum necessary	Uses and disclosures of protected health information should be limited to the minimum needed for the purpose; treatment disclosures between providers are an exception.	Believing anyone employed by the hospital may view any record.	A staff member looking at records outside their job duties.
3	Donabedian's structure, process, outcome	Structure = resources and settings (staff ratios, equipment); process = what is done (giving aspirin on arrival); outcome = results for patients (mortality, infection rates).	Calling a care-delivery step an outcome.	Whether the measure is a resource, an action, or a patient result.
4	Net patient revenue	Net patient revenue = gross charges – contractual allowances (and other adjustments); gross charges are list prices few payers actually pay.	Treating gross charges as revenue.	Gross charges alongside contractual allowances or discounts.
5	Just culture	Console human error, coach at-risk behavior (drift from safe practice), and sanction only reckless behavior (conscious disregard of substantial risk).	Punishing every error, or never holding anyone accountable.	Whether the person made a slip, took a shortcut, or knowingly ignored a serious risk.
6	EMTALA	Hospitals with emergency departments that take Medicare must provide a medical screening exam and stabilizing treatment to anyone who comes seeking emergency care, regardless of ability to pay.	Checking insurance before screening, or transferring an unstable patient for financial reasons.	An uninsured patient arriving at an emergency department.
7	Triple Aim	Health system performance is judged on three linked aims: better patient experience of care, better population health, and lower per capita cost.	Pursuing one aim, such as cost, while ignoring the other two.	A proposal that improves one aim at the clear expense of another.
8	Operating margin	Operating margin = (operating revenue – operating expenses) / operating revenue; nonoperating income such as investment gains is excluded.	Including investment income or dividing by expenses.	Operating figures listed with a separate nonoperating item.

Course scope (public description): MBA Healthcare Management Capstone is the culminating course in the MBA HCM program that provides an integrative experience with all competencies and assessment topics throughout the program. Students synthesize concepts from previously completed coursework and demonstrate an understanding of responsible practices for growing and running a business. This course promotes a meaningful connection between the academic work and career experience.